

# Copilot Lifecycle & Billing Playbook

Operational Guide for Licence Management, Billing Models & Analytics Data Impact

## TL;DR — Key Facts

- Every **M365 Copilot licence includes Viva Insights** — no separate purchase needed (Section 2)
- Core dashboard capabilities are available with **1+ Copilot licences**; for 50-plan capabilities, count assigned Viva Insights service plans and validate the documented mixed-licence conflict in the tenant (Section 3)
- Copilot Credits **do not roll over** — monitor weekly and set alerts (Section 4)
- Copilot Studio enforces prepaid capacity monthly: some overage is tolerated, **custom agents are disabled once a tenant reaches 125% of prepaid capacity**, and new agent flow runs are blocked when prepaid capacity is fully used; pay-as-you-go billing handles overage instead — see emergency procedure (Section 4)
- Licence changes take **up to 7 days** to appear in dashboards (Section 3)

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## 1. Purpose

This playbook is an operational guide for managing Microsoft Copilot licence lifecycle events and billing models. It covers what happens to analytics data when licences are assigned, removed, or reassigned — and provides step-by-step billing configuration procedures.

Use this document alongside the main Copilot Analytics guide to ensure licence changes do not create gaps in your analytics reporting or unexpected billing charges.

## 2. Licensing Models Overview

| Licensing Model                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Billing Type                         | Key Features                                                                                                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Microsoft 365 Copilot</b> (add-on licence)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Per-user, monthly/annual             | Includes Viva Insights service plan; Copilot in all M365 apps (Word, Excel, PowerPoint, Outlook, Teams, etc.); zero-rated agent usage in M365 Copilot, Teams, and SharePoint                                  |
| <b>Microsoft 365 Copilot Chat</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Included in M365 subscription        | Available in the Microsoft Copilot app (m365.cloud.microsoft/chat), Outlook, Teams and Edge, depending on subscription; metered charges for shared tenant data (SharePoint, Graph) access via Copilot Credits |
| <b>i Analytics note:</b> The Microsoft 365 admin center now provides a dedicated <b>Microsoft Copilot Chat usage report</b> for users without a Microsoft 365 Copilot licence, including exportable user activity. The Copilot Dashboard also provides a Copilot Chat licence view when enabled and available. These are distinct from Viva Insights custom queries, Microsoft Graph's licensed-user-only Copilot usage endpoint, and Purview audit evidence. Source: Microsoft Copilot Chat usage report (Last updated 18 August 2026) and Microsoft Copilot reporting options for admins (Last updated 17 September 2025). |                                      |                                                                                                                                                                                                               |
| <b>Copilot Studio Standalone</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Prepaid Copilot Credits subscription | Build and publish agents via Copilot Studio; prepaid credit pool; agent responses consume credits                                                                                                             |
| <b>Copilot Studio Pay-As-You-Go</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Azure subscription billing           | Monthly actual usage billed to an Azure subscription; no upfront commitment; suitable for variable workloads                                                                                                  |
| <b>Copilot Credits Pre-Purchase Plan</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | One-year prepaid                     | One-year prepaid pool of Copilot Credit Commit Units usable across eligible Microsoft products (Copilot Studio, M365 Copilot Chat tenant data, etc.); purchased in the Azure portal                           |

**Reference:** Licensing for agents powered by the standard harness (Copilot Studio). Microsoft points to the Microsoft Copilot Studio Licensing Guide for the most complete licensing and billing information.

## 3. Lifecycle Events — Impact on Analytics Data

The following table describes common licence lifecycle events and their impact on Copilot analytics dashboards and Viva Insights data.

| Event                                  | Impact on Copilot Dashboard                                                                                                        | Impact on Advanced Analytics (Viva Insights)                                                                                               |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| New licence assigned                   | User data appears in the dashboard within 7 days. Employee joins the measured population automatically.                            | User is added to the measured population. Activity data begins accumulating for query inclusion.                                           |
| Licence removed                        | Employees with only a Copilot licence are removed from analysis after licence removal.                                             | Viva Insights service plan removal removes the user from the measured population. Historical data in existing query results is retained.   |
| Licence reassigned to a different user | Previous user's historical data remains in the measured period. New user data appears within 7 days.                               | Previous user retains data in completed queries. New user begins accumulating data from assignment date.                                   |
| Employee leaves organisation           | If Copilot licence was removed before departure, they are excluded going forward. Exclusion lists can also be used to remove them. | Historical data in existing queries persists. User is removed from the active measured population upon account deletion.                   |
| Agency/BU merge                        | Dashboard reflects updated org data after the CSV is re-uploaded with new organisational structure.                                | Update org data CSV to reflect the new org structure. Partition boundaries may need restructuring (see the Restricted Reporting playbook). |
| Scale-up (adding 50+ more licences)    | Dashboard automatically includes new users within 7 days. No configuration change is needed.                                       | New users added to measured population automatically. Queries will include them on the next run.                                           |

| Event                        | Impact on Copilot Dashboard                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Impact on Advanced Analytics (Viva Insights)                                                                                                                                                                                                                                                                                                                         |
|------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Scale-down below 50 licences | Core dashboard capabilities remain available with 1+ Copilot licences. For capabilities gated at 50, Microsoft's Environment Requirements article counts assigned Viva Insights service plans and explicitly treats 30 Copilot + 20 Viva Insights as 50; the Dashboard article instead says 50 Copilot or 50 Viva Insights. Verify assigned service plans and tenant feature presence before forecasting a loss of access. Agent Dashboard preview should conservatively be treated as requiring 50 Copilot licences plus agent activity. | Advanced Analytics workbench remains accessible if existing Viva Insights licences total $\geq 50$ . Microsoft states that at least 50 assigned Viva Insights licences are required to access advanced analysis and the Microsoft Copilot Dashboard; validate in the tenant what happens to existing query results and Power BI reports if the total drops below 50. |

**Key Point:** The 7-day data appearance window is a processing delay, not a configuration requirement. No manual action is needed — the system detects new licence assignments automatically. For dashboard enablement steps, see the Admin Setup Guide: Copilot Dashboard Enablement.

**References:** Environment requirements for Viva Insights (Last updated 12 May 2026), Connect to the Microsoft Copilot Dashboard for Microsoft 365 customers (Last updated 29 September 2026), and Connect to the Agent Dashboard (Last updated 2 September 2026). The first two sources conflict on mixed-plan threshold wording; the Agent article conflicts with the broader Dashboard article on the preview prerequisite. Validate in the tenant and raise Microsoft Support if the documented service plans do not produce the expected entitlement after processing.

## 4. Copilot Credits — Understanding Consumption

Copilot Credits are the consumption currency for Copilot Studio agent interactions and certain M365 Copilot Chat scenarios. Understanding what costs credits — and what doesn't — is essential for budget management.

### What Costs Credits

- Agent responses using Copilot Studio capabilities beyond zero-rated usage
- Tenant data grounding (SharePoint, Graph) in M365 Copilot Chat
- Custom agent actions, plugins, and connector invocations
- Generative answers using non-M365 knowledge sources

- Classic answers (1 credit), generative answers (2) and agent actions (5) when the user does not hold a Microsoft 365 Copilot licence

### Zero-Rated (No Credits Required)

- Classic and generative answers in Copilot Studio agents when used by Microsoft 365 Copilot licensed users in employee-facing scenarios (conditions apply; see the footnotes in Billing rates and management)
- Generative answers using Microsoft Graph tenant grounding **when used by M365 Copilot licensed users in M365 apps** (Word, Excel, Teams, etc.)
- Standard Copilot-in-app interactions for licensed M365 Copilot users

### Credit Mechanics

- Credits reset monthly — there is **no rollover** of unused credits to the next month.
- Overage behaviour: Microsoft allows some overage; custom agents are disabled when a tenant reaches 125% of prepaid capacity (ongoing conversations are not interrupted), and new agent flow runs are blocked when prepaid capacity is exhausted. Environments configured to bill overage to pay-as-you-go are handled through the Azure subscription.
- Credits are pooled at the tenant level for prepaid plans, or billed per-environment for pay-as-you-go.

### Consumption Dashboard in Insights

The **Consumption Dashboard** is one of Microsoft's six Copilot Analytics areas. It helps eligible global or group-scoped viewers understand Copilot Credit consumption by supported service and organizational scope.

- Use it for operational trend and scope analysis, not as the invoice, entitlement ledger, or official billing system of record.
- Reconcile its output with Power Platform Admin Center, Microsoft 365 admin center credit reports, and Azure billing records before chargeback or accrual decisions.
- Access depends on the documented role and scope model. Microsoft's articles disagree on delegation: How to use the Consumption Dashboard says access can't currently be delegated, while Delegate access describes a **Combined access** delegate scope that includes the Consumption Dashboard. Test in the tenant before relying on either, and review existing delegates' scopes.

**Source:** How to use the Consumption Dashboard in Insights (Last updated 8 September 2026) and Copilot Analytics introduction (Last updated 1 July 2026).

**Warning:** Credits do not roll over. Monitor consumption weekly to avoid unexpected service interruptions at month-end.

## Emergency: Prepaid Capacity Enforcement — Agents Disabled or Flows Blocked

If agents stop responding and users see errors, follow this resolution path:

1. **Confirm the cause:** Navigate to Power Platform Admin Center → Licensing → Products → Copilot Studio → Summary. Check the Prepaid capacity card and whether the environment is within capacity or in overage.
2. **Immediate fix — Add credits:**
  - **Pay-as-you-go:** Verify the Azure subscription linked to the billing policy is active and has available budget. If the subscription spending limit was hit, increase it in Azure Portal → Cost Management.
  - **Prepaid:** Purchase additional Copilot Credit capacity through your Microsoft account team or the Microsoft 365 admin center. Microsoft documents Prepaid Capacity packs under **Marketplace** (search for “Microsoft Copilot Studio”; Global Administrator or Billing Administrator required) in Buy a Microsoft Copilot Studio capacity pack, and the Pre-purchase Plan (P3) under **Cost Management > Configuration > Buy Pre-purchase Credits** in Set up usage-based billing for Copilot Credits. Microsoft does not document a fixed timing for when purchased credits become available.
3. **Prevent recurrence — Set up alerts:**
  - In **PPAC**: if the capacity panel for your environment shows an **Overage notification** setting (Microsoft documents it for the Copilot Chat environment), select **Send notification when nearing capacity usage** and choose a percentage from the list. Confirm that the same setting applies to your Copilot Studio environments.
  - In **Azure** (for pay-as-you-go): Cost Management → Budgets → create a budget with action group email alerts.
4. **Review consumption:** Use the Microsoft Copilot Credits report in Admin Center to identify which agents consumed the most credits and whether any can be optimised.

**Reference:** Billing rates and management

## 5. PPAC Billing Configuration

Follow these steps to configure and monitor billing in the Power Platform Admin Center:

1. Navigate to [admin.powerplatform.microsoft.com](https://admin.powerplatform.microsoft.com) and sign in as a Power Platform Administrator.
2. Go to **Licensing → Copilot Studio** in the left navigation pane.
3. Review the **Summary** view:
  - 4. Prepaid capacity — total credits purchased, credits consumed, credits remaining
  - 5. Pay-as-you-go — active billing plans linked to Azure subscriptions
  - 6. Consumption trend — daily/weekly/monthly usage graphs

- 7 View **Capacity consumption by product** to see breakdown across Copilot Studio, M365 Copilot Chat, and other eligible products.
- 8 To allocate prepaid credits to specific environments:
  - 9 Select **Manage Capacity** on the Prepaid capacity card
  - 10 Choose the target environment
  - 11 Enter the number of credits to allocate
  - 12 Under **Capacity overages**, choose **Draw from the available capacity in my tenant** or **Bill to my pay-as-you-go billing plan**
  - 13 Confirm the allocation
- 14 To create a pay-as-you-go billing policy:
  - 15 Select **New billing policy**
  - 16 Link to an Azure subscription and resource group
  - 17 Assign the billing policy to one or more environments
  - 18 Set spending limits if desired
- 19 Use the **Agent Usage Estimator** tool to forecast credit consumption for planned agents:  
[microsoft.github.io/copilot-studio-estimator](https://microsoft.github.io/copilot-studio-estimator)

**Reference:** Manage Copilot Credits and capacity for Copilot Studio

## 6. Admin Center Billing Reports

The Microsoft 365 admin center provides a Microsoft Copilot Credits report for pay-as-you-go consumption by users *without* a Microsoft Copilot licence who use metered agents in Copilot Chat. It shows the last 7 or 30 days (during preview, a maximum of 30 days and nothing before 3 May 2025), and user names are hidden unless the admin setting to show user details in usage reports is on.

### Accessing the Report

- 1 Sign in to [admin.microsoft.com](https://admin.microsoft.com).
- 2 Navigate to **Reports → Usage → Microsoft Copilot → Credits**.
- 3 Review the report components:
  - 4 **Total credits used:** Aggregate consumption for the billing period
  - 5 **Time series:** Cumulative and daily credit consumption charts
  - 6 **Per-user breakdown:** Credits consumed by individual users

- **7 Per-agent breakdown:** Credits consumed by each published agent
- **8 Per-billing-policy:** Consumption grouped by billing policy

**Tip:** Export the per-user breakdown to CSV and join it with your org data file to produce agency-level or cost-centre-level chargeback reports. The report covers only unlicensed Copilot Chat users on pay-as-you-go and at most 30 days, so use the Power Platform admin center (daily environment-level consumption data for up to three months, and monthly data for the past 12 months) for quarterly reconciliation.

**Reference:** Microsoft Copilot Credits report

## Usage-Based Billing and Copilot > Cost Management

Microsoft also documents a usage-based billing model for additional Copilot services, administered in **Copilot > Cost management** in the Microsoft 365 admin center. Services it lists include Copilot Cowork, the Work IQ API and Copilot Managed Runtime. Power Platform and Copilot Studio usage details remain in the Power Platform admin center.

- Administrators use the Cost management dashboard to configure spending policies, apply organisation-level and user-level limits, manage billing methods, and review consumption by spending policy, user, group, agent, service and funding source.
- Billing methods include the Copilot Credit Pre-purchase Plan (P3), pay-as-you-go and existing prepaid capacity packs, depending on the service.
- Microsoft lists AI Reader and Global Reader as read-only consumption viewers. Its Set up usage-based billing for Copilot Credits article is inconsistent about License Administrator: one passage lets that role edit spending policies, while another lists it among read-only reader roles. Test License Administrator permissions with a pilot account in the tenant before relying on either statement.
- The Overview tab refreshes every 4 hours and the Consumption tab every 2 hours. Use the monthly billing record for reconciliation, not the usage dashboards.

For Copilot Cowork reporting, see Cowork Dashboard Operations.

**Reference:** Understand usage-based billing and cost management for Copilot Credits, Set up usage-based billing for Copilot Credits, Managing AI experiences enabled by usage-based billing and Usage-based billing: What you see in the Microsoft 365 admin center vs. your Azure bill

## 7. Multi-Agency Chargeback Model

For organisations with multiple agencies, departments, or cost centres, a chargeback model distributes Copilot costs to the consuming business units.

### Option A: Org Data-Based Attribution

1. Upload org data with an **Agency** (or **CostCentre** ) attribute through the Microsoft 365 admin center or the Viva Insights web app, as applicable to your tenant (check Message Center).
2. Export the Copilot Credits report filtered by user from the M365 Admin Center.
3. Join user-level consumption data with org data to map each user's credit usage to their agency.
4. Aggregate by agency to produce the chargeback summary.

### Option B: Separate Billing Policies

1. Create separate billing policies in PPAC — one per agency.
2. Link each billing policy to a different Azure subscription or cost centre.
3. Assign environments to the appropriate billing policy based on the owning agency.
4. Each agency's Azure subscription is billed directly for their consumption.

### Quarterly Reconciliation Process

- At the end of each quarter, export consumption data from both PPAC and M365 Admin Center. The admin center credits report covers only unlicensed Copilot Chat users on pay-as-you-go and at most 30 days, so rely on PPAC for the full quarter.
- Reconcile prepaid credit consumption against allocations per agency.
- Reconcile pay-as-you-go charges against Azure invoices.
- Review and adjust allocations based on actual usage trends.
- Produce a chargeback summary report for finance teams.

**Note:** Option B (separate billing policies) provides cleaner cost separation but requires more administrative overhead. Option A is simpler to maintain for organisations with fewer than 10 agencies.

**Agent billing and capacity:** For Copilot Credit billing rates, enforcement and capacity management, see Microsoft's Billing rates and management article and the Microsoft Copilot Studio Licensing Guide it links to.

## 8. Operational Checklist

### Monthly Tasks

- ☐ Review licence utilisation in the M365 Admin Center — identify unused licences
- ☐ Review credit consumption in PPAC — check against budget thresholds

- ❑ Reallocate unused licences to requesting users or business units
- ❑ Check for disabled agents or blocked agent flow runs due to prepaid capacity enforcement
- ❑ Review new licence assignments and confirm dashboard data appearance
- ❑ Check Microsoft 365 admin center **Service Health** and **Message Center** before attributing report gaps, metric changes, or missing preview features to configuration

## Quarterly Tasks

- ❑ Audit exclusion lists in Viva Insights — remove departed employees, add new exclusions
- ❑ Review billing policies — ensure environments are assigned to correct policies
- ❑ Reconcile chargeback — produce agency-level cost reports (see the Restricted Reporting playbook for partition-based chargeback setup)
- ❑ Assess scale needs — forecast licence and credit requirements for next quarter
- ❑ Review lifecycle events — confirm org data CSV reflects current organisational structure
- ❑ Document any licence model changes (e.g., shift from prepaid to pay-as-you-go)

**Best Practice:** Create calendar reminders for these tasks and assign a named owner to each checklist item. Governance lapses most often occur when tasks lack clear ownership.

## 9. References

| Topic                                | URL                                                                                                                                                                               |
|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Copilot Studio Billing and Licensing | <a href="https://learn.microsoft.com/microsoft-copilot-studio/billing-licensing">learn.microsoft.com/microsoft-copilot-studio/billing-licensing</a>                               |
| Copilot Dashboard FAQs               | <a href="https://learn.microsoft.com/viva/insights/org-team-insights/copilot-dashboard#faqs">learn.microsoft.com/viva/insights/org-team-insights/copilot-dashboard#faqs</a>       |
| Billing rates and management         | <a href="https://learn.microsoft.com/microsoft-copilot-studio/requirements-messages-management">learn.microsoft.com/microsoft-copilot-studio/requirements-messages-management</a> |
|                                      |                                                                                                                                                                                   |

| Topic                                                                            | URL                                                                                                                                                                                                   |
|----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Manage Copilot Credits and capacity for Copilot Studio                           | <a href="https://learn.microsoft.com/power-platform/admin/manage-copilot-studio-copilot-credits-capacity">learn.microsoft.com/power-platform/admin/manage-copilot-studio-copilot-credits-capacity</a> |
| Microsoft Copilot Credits report                                                 | <a href="https://learn.microsoft.com/microsoft-365/admin/activity-reports/microsoft-365-copilot-credits">learn.microsoft.com/microsoft-365/admin/activity-reports/microsoft-365-copilot-credits</a>   |
| Microsoft Copilot Chat usage report (Last updated 18 August 2026)                | <a href="https://learn.microsoft.com/microsoft-365/admin/activity-reports/microsoft-copilot-usage">learn.microsoft.com/microsoft-365/admin/activity-reports/microsoft-copilot-usage</a>               |
| How to use the Consumption Dashboard in Insights (Last updated 8 September 2026) | <a href="https://learn.microsoft.com/viva/insights/org-team-insights/ai-cost-dashboard">learn.microsoft.com/viva/insights/org-team-insights/ai-cost-dashboard</a>                                     |
| Agent Usage Estimator Tool                                                       | <a href="https://microsoft.github.io/copilot-studio-estimator">microsoft.github.io/copilot-studio-estimator</a>                                                                                       |

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